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In the Supreme Court of the United States

OCTOBER TERM, 1997

THE UNITED STATES DEPARTMENT OF THE ARMY,
PETITIONER

v.

BLUE FOX, INC.

ON PETITION FOR A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE NINTH CIRCUIT

REPLY BRIEF FOR THE PETITIONER

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The question presented in this case is whether 5 U.S.C. 702, which waives the United States' immunity to suits challenging "agency action" except suits for "money damages," permits a party to seek a monetary award from the government simply because the relief can be characterized as "equitable" rather than "legal" in nature. Because the decision below answers that question in the affirmative, it conflicts with decisions of the District of Columbia and Third Circuits construing Section 702, and with numerous other decisions holding that a subcontractor cannot recover directly from the government. Given the substantial federal and fiscal interests implicated by those conflicts, this Court should grant certiorari to resolve them.

A. Respondent does not dispute that the Ninth Circuit below read 5 U.S.C. 702 and this Court's decision in *Bowen* v. *Massachusetts*, 487 U.S. 879 (1988), as declaring that the United States has waived its immunity to suits seeking monetary awards whenever the cause of action or remedy can be characterized as "equitable" in nature. Pet. App. 8a-9a ("Since the APA waives immunity for equitable actions, the district court had jurisdiction under the APA."); *id.* at 10a ("[S]uch equitable liens are properly

characterized as equitable remedies, rather than money damages."); see Pet. 8-9. Nor does respondent deny that the D.C. Circuit, in *Hubbard* v. *Administrator, EPA*, 982 F.2d 531 (1992), rejected precisely that position. *Id.* at 537 ("What may qualify as an 'equitable remedy' * * * is not synonymous with specific relief" permitted by 5 U.S.C. 702.); *id.* at 539 (Randolph, J., joined by R.B. Ginsburg, J., concurring) ("[T]he line section 702 draws is not between actions at law and suits in equity."); see Pet. 15-16.

Likewise, respondent does not deny that the Ninth Circuit in this case—following *Aetna Casualty and Surety Co.* v. *United States*, 71 F.3d 475, 479 (2d Cir. 1995)—held that 5 U.S.C. 702 permits monetary awards against the government in the absence of any statutory right to payment. Pet. App. 7a-8a ("there is no requirement in *Bowen* or the APA" that the right to the money "be statutorily granted"). In contrast, consistent with the Appropriations Clause of the Constitution, Art, I, § 9, Cl. 7, and this Court's decision in *OPM* v. *Richmond*, 496 U.S. 414 (1990), the D.C. Circuit and the Third Circuit have held that a money judgment is permitted by Section 702 only if the suit seeks to enforce a statute entitling the plaintiff to money from the government. See Pet. 14-15, 18 (citing *Dia Navigation Co.* v. *Pomeroy*, 34 F.3d 1255, 1267 (3d Cir. 1994), and *Hubbard*, 982 F.2d at 536).

1. Respondent attempts to reconcile the decision below with *Hubbard* by relying on a footnote in which *Hubbard* suggests that, if the *Hubbard* plaintiff had sought payment for work performed as an employee of the United States—rather than "back pay" for wrongful denial of employment—his claim might have constituted a suit for "specific relief" rather than a "money damages" action barred by Section 702. Br. in Opp. 13 (quoting 982 F.2d at 533 n.4). Respondent thus argues that the decision below is consistent with *Hubbard* because respondent, like the hypothetical employee addressed in the *Hubbard* footnote, "*earned* its money, by performing work for which it was never paid." *Ibid.*

That argument does not reconcile the cases. It does not change the fact that the D.C. Circuit flatly rejected the very proposition the Ninth Circuit adopted as its holding below—that monetary relief ceases to be "money damages" barred by 5 U.S.C. 702 whenever the cause of action or remedy can be characterized as "equitable" rather than "legal." See *Hubbard*, 982 F.2d at 537. Moreover, respondent's claim would fail under *Hubbard* because respondent, unlike the hypothetical employee discussed in footnote 4 of *Hubbard*, can point to no statute that even arguably entitles it to money from the government. Compare *Hubbard*, 982 F.2d at 536 (non-employee's monetary claim fails because it does not seek "enforcement of [a] legal mandate that the [agency] pay him a sum of money"), with 5 U.S.C. 5332(a)(1) ("Each [federal] employee * * * *is entitled* to basic pay in accordance with the General Schedule." (emphasis added)); cf. *United States* v. *Testan*, 424 U.S. 392, 402 (1976) (federal employee "is entitled" by statute "to the emoluments of his position," but not to pay for a promotion he did not receive).

Respondent's attempted reconciliation also fails because, in conflict with *Hubbard*, the decision below fundamentally misapplies *Bowen*'s distinction between the "specific relief" that 5 U.S.C. 702 permits and the "money damages" awards it prohibits. Pet. 14-15, 19-21. Following *Bowen*, 487 U.S. at 895, the D.C. Circuit has recognized that relief is "specific" and thus not "money damages" only if it gives the plaintiff "the very thing to which [he is] entitled" from the government, *i.e.*, it forces the government to fulfill the specific legal duty to the plaintiff that the government breached. Because "[t]he only 'entitlement' that the [government] deprived" the *Hubbard* plaintiff of "was the job offer he [otherwise] would have received" from the government, the D.C. Circuit held that "[i]nstatement is the specific relief for that deprivation," as "it gives [plaintiff] 'the very thing' he was owed." 982 F.2d at 533. Back pay, in contrast, constitutes "money damages" because it is a substitute remedy that compen-

sates the plaintiff for a consequential "loss of income attributable" to agency action. *Ibid.*[1]

In this case, the "only 'entitlement' that the [Army] deprived" respondent of (if any) was the posting of a bond under the Miller Act, 40 U.S.C. 270a-270d; respondent's contractual right to *payment* ran against the prime contractor, not the Army. Pet. 20-21. Consequently, a suit for "specific relief" to obtain "the very thing to which [respondent] was entitled" from the Army could demand only that which the Miller Act mandated, *i.e.*, that the Army require the posting of a bond from a qualified surety. Because the Ninth Circuit instead awarded respondent monetary relief against the Army, its decision cannot be reconciled with *Hubbard*. See also *Department of the Army* v. *FLRA*, 56 F.3d 273, 276 (D.C. Cir. 1995) (successful challenge to agency action for failure to provide required notice entitles employees only to "specific relief" in the form of proper notice, since "proper notice," not greater compensation, "was the thing to which * * * employees were entitled").

2. Respondent's effort to reconcile this case with the Third Circuit's decision in *Dia Navigation Co.* v. *Pomeroy*, 34 F.3d 1255, 1267 (1994) (see Pet. 15-17), fares no better. Respondent is correct that, under *Dia*, Section 702 might be read as authorizing monetary relief when necessary to enforce a statute *or* an agency regulation creating a right to payment from the government. Br. in Opp. 14-15 (quoting *Aetna*, 71 F.3d at 479); see *Dia*, 34 F.3d at 1267. But it does not follow that the Third Circuit would permit monetary awards based solely on equitable claims, as the Ninth Circuit did below. To the extent agency regulations requiring monetary payments may be judicially enforced consistent with 5 U.S.C. 702 and the Appropriations

[1] See also 982 F.2d at 539 (Randolph, J., joined by R.B. Ginsburg, J., concurring) ("The suffered loss here is not wages, but the chance to earn them. Money substitutes for that loss. The back-pay award Hubbard seeks therefore constitutes 'money damages' within the meaning of 5 U.S.C. § 702.").

Clause, it is because valid regulations have the force and effect of statutory law. *Atchison, T. & S. F. Ry.* v. *Scarlett*, 300 U.S. 471, 474 (1937) (regulation has "the same force as though prescribed in terms by the statute"). In any event, the Third Circuit, like the D.C. Circuit, has recognized that a "substitute" remedy such as that awarded by the Ninth Circuit here is inconsistent with the "money damages" prohibition in 5 U.S.C. 702. See *Dia*, 34 F.3d at 1267 (where wrong is failure to promulgate regulations properly, monetary award is "a substitute for what ought to have been done, and therefore would constitute money damages").[2]

3. Finally, respondent does not dispute that the Ninth Circuit's decision, because it requires the Army to make payments despite the exhaustion of project funds, see Pet. App. 11a-12a, conflicts with the D.C. Circuit's decision in *City of Houston* v. *HUD*, 24 F.3d 1421, 1428 (1994). See Pet. 17 n.8. Instead, respondent relies on a waiver argument that is, as discussed below, without merit.

B. Respondent's remaining arguments in opposition to certiorari are also without merit.

1. Although respondent concedes that the Army consistently has argued that this suit is barred by 5 U.S.C. 702, respondent contends that the Army, during oral argument before the Ninth Circuit, waived some of the specific points made in the petition. Br. in Opp. 9-11, 19-22 & nn.10, 12, 23. The contention lacks substance for two reasons.

[2] Respondent also suggests that there is no conflict because this case, unlike *Hubbard* and *Dia*, deals with subcontractors. See Br. in Opp. 3, 6. Respondent, however, fails to explain why that distinction makes a difference. In this case, *Dia*, and *Hubbard*, the question was whether a suit for a monetary recovery is consistent with 5 U.S.C. 702. The Ninth Circuit below answered that question in the affirmative, despite the absence of a statutory right to payment, simply because the remedy could be given an "equitable" label. In *Dia* and *Hubbard*, the Third and D.C. Circuits rejected that argument, and held that the United States is immune to suits seeking money in the absence of a statutory entitlement to specific funds. The differing identities of the plaintiffs does not make the conflict less palpable or worthy of review.

First, the immunity of the United States cannot be altered by a lawyer's concessions; it can be waived only by an Act of Congress. See, *e.g.*, *Munro* v. *United States*, 303 U.S. 36, 41 (1938); *Finn* v. *United States*, 123 U.S. 227, 232-233 (1887); see also *Block* v. *North Dakota*, 461 U.S. 273, 280 (1983) (waiver of immunity must be enacted by Congress). In fact, sovereign immunity is sufficiently "jurisdictional in nature," *FDIC* v. *Meyer*, 510 U.S. 471, 475 (1994), that the issue itself—and thus *a fortiori* individual arguments in support thereof—can be raised for the first time on appeal. See *Finn*, 123 U.S. at 232; cf. *Patsy* v. *Board of Regents*, 457 U.S. 496, 516 n.19 (1982) (sovereign immunity "sufficiently partakes of the nature of a jurisdictional bar that it may be raised by the State for the first time on appeal" (internal quotation marks omitted)).

Second, review of the entire argument transcript reveals that—despite respondent's selective quotations—no waiver occurred. The Army never conceded that Section 702 permits monetary awards after project funds are exhausted;[3] and it did not concede that Section 702 would

[3] The portion of the transcript quoted by respondent (Br. in Opp. 21-23 & n.23) addresses the fact that, as a matter of substantive *lien law*, the payment of funds to one party does not eliminate the lien in favor of another. Regardless of what substantive lien law provides, the Army has consistently maintained that *Section 702* precludes such liens from being imposed on government funds once project funds are exhausted. Indeed, immediately after the exchange cited by respondent (Br. in Opp. 21-22 n.23), the Ninth Circuit panel inquired why the equitable lien rule, which permits liability after fund depletion, does not control this case. Counsel for the government responded: "This is different because all of the money that was due to the general contractor * * * w[as] paid * * *. Verdan did not have a right to [any] money [and] neither did the subcontractor, Blue Fox." Tr. 8. The discussion continued: "Court: * * * I thought your answer was going to be because of the immunity issue. Government Counsel: Well, that is my point. The plaintiff, Blue Fox, did not have any right to any money in the hands of the government." Tr. 8-9; see also Tr. 2. That position is consistent with the law in other circuits. See, *e.g.*, *City of Houston*, 24 F.3d at 1428 (because suit under 5 U.S.C. 702 must seek the "very thing" to which the plaintiff is entitled, exhaustion of the

permit an award here in the absence of a statutory entitlement.[4] Moreover, the Ninth Circuit—far from finding waiver—reached the merits of each argument presented in the certiorari petition. See Pet. App. 7a-8a (holding that money-payment mandating statute is not necessary); *id.* at 11a-12a (holding that respondent may recover despite exhaustion of project funds); *id.* at 8a-11a (holding that suit is not for "money damages" even though the duty the Army breached was not for the payment of money to respondent). Because those issues were not only presented to the Ninth Circuit but actually decided by it, they are properly before this Court. See *United States* v. *Williams*, 504 U.S. 36, 40-45 (1992) (review proper if the issue was presented *or* reached by the court below); *Stevens* v. *Department of Treasury*, 500 U.S. 1, 8 (1991) (rejecting waiver argument because the court of appeals "decided the * * * issue").[5]

specific funds to which the plaintiff claims an entitlement precludes the entry of a monetary award; funds from any other source would be a "substitute" remedy and thus "money damages").

[4] Respondent concedes that the Army's Ninth Circuit brief argued this point with clarity, insisting that Section 702 does not permit the imposition of monetary liability in the absence of a money-payment mandating statute. Br. in Opp. 11 n.11 (quoting Gov't C.A. Br. as asserting that "a claimant may avail itself of § 702 when it seeks funds to which it is entitled by statute, as opposed to funds which cover the losses suffered because the agency failed to do what it was required to [d]o"). Although the oral argument transcript is not a model of clarity with respect to this issue, the Army never abandoned the position it took in its brief. See Tr. 2-3 ("Now, if there w[ere] a statute, for example, such as * * * in *Bowen*, there the State of Massachusetts had a right to the particular fund because of a statutory entitlement."). At most, the attorney conceded that other cases had permitted monetary relief in favor of sureties under a subrogation theory, see Tr. 7 ("All of these cases that have been cited by the plaintiff involve sureties."), but he clearly insisted that those cases were inapplicable here, Tr. 7, 8, 9-10.

[5] Respondent also appears to suggest (Br. in Opp. 11 n.11) that any arguments based on the Appropriations Clause are not properly before the Court. The proper construction of 5 U.S.C. 702 is before the Court, however, and it must be construed in a way that is consistent with the

2. Citing decisions of this Court involving subrogation and materialmen's liens, Br. in Opp. 4-6 & nn.1-3, respondent implies that this Court already has authorized recovery against the government in these circumstances. Respondent also suggests that review by this Court could adversely affect those doctrines, and thus commercial relations as well. See *id.* at 17-19. Those submissions are baseless. None of the Court's lien or subrogation decisions has any bearing on the waiver of immunity contained in 5 U.S.C. 702, as they deal exclusively with contests between private parties where the government had disavowed any right to the claimed funds; they thus nowhere hold "that laborers and materialmen ha[ve] any right against the United States." *Pearlman* v. *Reliance Ins. Co.*, 371 U.S. 132, 143 (1962) (Clark, J., concurring).[6]

Appropriations Clause. Pet. 18-19. Respondent's further suggestion (Br. in Opp. 16) that the Appropriations Clause is not implicated because there is no statutory *prohibition* against the judgment in its favor reverses the controlling rule. The Appropriations Clause prohibits any disbursement of funds from the Treasury except as affirmatively authorized by "the express terms of a specific statute." *Richmond*, 496 U.S. at 432; see, *e.g.*, *City of Houston*, 24 F.3d at 1428 (where appropriated funds are already exhausted, monetary award would be barred by Section 702 as "money damages").

[6] As explained in the certiorari petition (at 21-22 n.11), sovereign immunity issues did not arise in *Pearlman*, *supra*, and *Henningsen* v. *United States Fidelity & Guaranty Co.*, 208 U.S. 404 (1908), because the government was not a defendant; it had disavowed any claim to the money and paid it over voluntarily. Nor does *Prairie State Bank* v. *United States*, 164 U.S. 227 (1896) (cited at Br. in Opp. 4, 18), help respondent. That case arose in the Court of Claims—which was authorized to award money damages against the United States—and involved voluntary relinquishment of funds by the United States in any event. See 164 U.S. at 228-230; *Hitchcock* v. *United States*, 27 Ct. Cl. 185, 201 (1892); see also *id.* at 211 (Nott, J., dissenting) ("These cases involve no question of liability on the part of the Government [and instead] relate simply to the distribution of the fund * * * the Government * * * brought into court by bill of interpleader."). Respondent's further reliance on lower court cases involving subrogation by sureties (Br. in Opp. 16 n.18) is likewise misplaced; those cases too arose in contexts where money damages awards are permitted, such as

Likewise, the question before the Court in this case has no bearing on the law of equitable liens and subrogation in other settings. We may assume, *arguendo*, that, under circumstances like those present here, courts would permit an action against a private defendant.[7] Because the defendant in this case is a government agency, however, respondent can obtain no rights against the agency with respect to agency funds absent a waiver of immunity and a substantive right to payment. As we have explained, 5 U.S.C. 702 does not provide the requisite waiver of sovereign immunity (see Pet. 18-21), and the Miller Act does not give subcontractors the substantive right to recover money directly from the government (see Pet. 22-27). The Court's resolution of this case therefore is unlikely to have any (much less a sweeping) effect on equitable lien or subrogation law in other settings.

3. The Ninth Circuit's decision, in contrast, has sweeping repercussions for government contracting and the national fisc. Pet. 27-28. Although subcontractors have attempted to bring suit against the United States for decades, it long has been settled that sovereign immunity precludes such actions. See Pet. 22-27 (citing cases from this Court, the Court of Claims, as well as the Fourth, Fifth, Seventh, Ninth, Tenth, and Eleventh Circuits). The decision below thus conflicts not only with the decisions of the D.C. Circuit and Third Circuit in *Hubbard* and *Dia*, see pp. 1-5, *supra*, but also with longstanding precedent specifically relating to subcontractors on government con-

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in the Court of Federal Claims (or its predecessors), or in United States District Court under the Little Tucker Act, 28 U.S.C. 1346(a)(2).

[7] Respondent argues (Br. in Opp. 19-21) that, because an equitable lien would be enforceable against a private party, the lien must be "specific relief" rather than "money damages" under Section 702. The argument is without merit. Sovereign immunity and the Miller Act preclude any doctrine (equitable or otherwise) from giving respondent rights in agency funds vis-a-vis the agency itself; and they likewise bar judicial enforcement of respondent's claim to such a right. Neither respondent's claim to Army funds, nor its effort to enforce that claim, falls within the waiver of immunity in 5 U.S.C. 702.

tracts. See Pet. App. 14a ("Never before has a court held that a subcontractor may sue an agency of the United States, which has not agreed to be sued, for contract monies that the prime contractor should have paid to the subcontractor but didn't." (Rymer, J., dissenting)).

It is no answer to assert (Br. in Opp. 16) that the United States can avoid liability by requiring Miller Act bonds when the law so demands. If it had been Congress's desire that the government avoid "money damages" awards only through perfect legal compliance, Congress would have abrogated sovereign immunity entirely. Section 702, of course, does no such thing. Moreover, it is far from clear that the Ninth Circuit's decision can be limited to the Miller Act context. See *Tucson Airport Auth.* v. *General Dynamic Corp.*, 136 F.3d 641, 645 (9th Cir. 1998) (following decision below in a case not involving the Miller Act). Indeed, to the extent that the decision below permits suits to be brought to remedy tort-type injuries whenever the relief or action can be characterized as "equitable," it exposes the United States to liability that previously had been limited or nonexistent. Pet. 27-28. Because the imposition of such an unprecedented and unpredictable financial burden on the United States Treasury is fundamentally inconsistent with the terms and intent of Section 702—and because the Ninth Circuit's decision imposing that burden conflicts with the decisions of other courts of appeals—review by this Court is warranted.

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For the foregoing reasons and those stated in the petition, it is respectfully submitted that the petition for a writ of certiorari should be granted.

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